

HOUSE BILL NO. 153

INTRODUCED BY D. BEDEY, E. BUTTREY, J. FULLER, L. JONES, B. BARKER

A BILL FOR AN ACT ENTITLED: "AN ACT GENERALLY REVISING LAWS RELATED TO THE SCHOOL FUNDING INTERIM COMMISSION; REVISING THE MEMBERSHIP OF THE COMMISSION; ESTABLISHING A DEADLINE FOR APPOINTMENTS TO THE COMMISSION; DESIGNATING A PRESIDING OFFICER OF THE COMMISSION; MODIFYING THE COMMISSION'S FOCUS FOR THE 2025-2026 INTERIM; CREATING AN INNOVATION AND EXCELLENCE IN EDUCATION WORKING GROUP FOR THE 2025-2026 INTERIM AND PROVIDING DUTIES OF THE WORKING GROUP; PROVIDING AN APPROPRIATION; AMENDING SECTION 5-20-301, MCA; AND PROVIDING AN IMMEDIATE EFFECTIVE DATE."

BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

Section 1. Section 5-20-301, MCA, is amended to read:

"5-20-301. School funding interim commission. (1) There is a school funding interim commission that must be formed during the 2015-2016 interim and each successive fifth interim pursuant to 20-9-309. The commission shall:

(a) conduct a study to reassess the educational needs and costs related to the basic system of free quality public elementary and secondary schools; and

(b) if necessary, recommend to the following legislature changes to the state's funding formula; and

(c) for the commission formed during the 2025-2026 interim, prior to conducting the study under subsection (1)(a), form an innovation and excellence in education working group to develop recommendations, objectives, and an implementation plan as described in subsection (10) to improve the basic system of free, quality, public elementary and secondary schools.

(2) In conducting the study, the commission may:

(a) review the work of previous studies and commissions;

(b) consider recommendations and topics provided by other interim or standing legislative

committees, the board of public education, the office of public instruction, the governor's office, private organizations, professional educators, school trustees, and members of the public;

(c) review how the state's education funding policy has evolved as a result of litigation;

(d) seek input from representatives from the board of public education, the office of public instruction, the governor's office, private organizations, professional educators, school trustees, and members of the public;

(e) consider the state's existing and projected financial resources as well as the needs and concerns of Montana taxpayers;

(f) authorize research and studies to be conducted by reputable and reliable experts in the public or private sectors; and

(g) request research and analysis from the legislative fiscal division, the office of public instruction, the department of revenue, and any other state agency or entity that maintains information or data relevant to the study.

(3) The members of the commission are:

(a) six members of the house of representatives, three from the majority party and three from the minority party, one of whom must be the presiding officer of the joint appropriations education standing subcommittee, appointed by the speaker of the house in consultation with the house majority leader and the house minority leader;

(b) six members of the senate, three from the majority party and three from the minority party, one of whom must be the vice presiding officer of the joint appropriations education standing subcommittee, appointed by the president of the senate in consultation with the senate majority leader and the senate minority leader; and

~~(c) four members of the public to be appointed as follows:~~

~~(i) two public members appointed by the speaker of the house with the consent of the house minority leader; and~~

~~(ii) two public members appointed by the president of the senate with the consent of the senate minority leader~~

~~(c) the presiding officer of the board of public education or the presiding officer's designee;~~

1 (d) the superintendent of public instruction or the superintendent's designee;

2 (e) the presiding officer of the board of regents of higher education or the presiding officer's
3 designee;

4 (f) the governor or the governor's designee; and

5 (g) two members of the public appointed by the governor, one of whom is a current or former
6 school board trustee.

7 (4) Appointments to the commission must be made by April 1 in a year the commission is to form,
8 pursuant to subsection (1).

9 ~~(4)~~(5) The presiding officer of the joint appropriations education standing subcommittee shall serve as
10 the presiding officer of the commission. The commission shall select its vice presiding officer at the first meeting
11 of the commission.

12 ~~(5)~~(6) The commission is attached for administrative purposes to the legislative services division, and
13 the legislative services division shall provide sufficient and appropriate support to the commission in order that it
14 may carry out its statutory duties, within the limitations of legislative appropriations.

15 ~~(6)~~(7) The commission is staffed by the legislative services division. The legislative fiscal analyst shall
16 assign staff to assist the commission.

17 ~~(7)~~(8) The commission shall issue a report to the legislature in accordance with 5-11-210 on the
18 commission's findings and recommendations, including any draft legislation for amending the state school
19 funding formula.

20 ~~(8)~~(9) Unless the person is a full-time salaried officer or employee of the state or a political
21 subdivision of the state, a nonlegislative member appointed to the commission is entitled to salary and
22 expenses to the same extent as a legislative member. If the appointee is a full-time salaried officer or employee
23 of the state or of a political subdivision of the state, the appointee is entitled to reimbursement for travel
24 expenses as provided for in 2-18-501 through 2-18-503.

25 (10) (a) The innovation and excellence in education working group is composed of the commission
26 and others as determined by the commission.

27 (b) The innovation and excellence in education working group shall:

28 (i) conduct a benchmarking or gap analysis study comparing the education policies of Montana to

1 the education policies of high-performing international and domestic education systems or review a similar
2 analysis conducted for another state;
3 (ii) develop recommendations to adapt the appropriate education policies of high-performing
4 international and domestic education systems for the public education system in Montana;
5 (iii) identify objectives to put the education performance of pupils in Montana in parity with that of
6 pupils in high-performing international and domestic education systems and make recommendations on how to
7 meet the identified objectives;
8 (iv) develop an implementation plan for the recommendations made pursuant to this subsection
9 (10)(b), which includes an analysis of the costs of the plan; and
10 (v) publish its recommendations and implementation plan no later than January 30, 2026.
11 (c) The innovation and excellence in education working group may contract with a reputable
12 national organization to support the working group's efforts under this subsection (10)."

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14 NEW SECTION. Section 2. Appropriation. There is appropriated \$10,000 from the general fund to
15 the legislative services division for funding activities of the school funding interim commission in May and June
16 2025.

17
18 NEW SECTION. Section 3. Effective date. [This act] is effective on passage and approval.

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